Widening K-shaped Growth: Looking Beyond April Air Pocket

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April growth reflected the oil shock and fiscal complacency, but broader Q2 data support our structural narrative: domestic demand is lagging, but high-end manufacturing and exports are holding the line. Oil is the key swing factor between two-speed resilient growth and continued downward pressures.

Weaker-than-expected April activity data across the board seems at odds with our slightly constructive Mid-Year Outlook, where we raised growth and inflation forecasts on the back of global AI and energy capex supercycles. The key question is not just whether April was a one-off miss, but also whether a distinctly two-speed economy can deliver stable growth and narrow reflation. In this note, we assess the latest tracking data through this two-speed lens and explain why our base case still holds, albeit with oil as an even more critical swing factor.

April growth weakness - dual squeeze from oil and faded fiscal impulse: The oil shock is not just a terms of trade one that compresses domestic income - hitting consumers when confidence is already low - but also a volume constraint on production. As it is, capacity utilization for several petrochemical industries have slumped since March (Exhibit 2 and Exhibit 3). An equally important incremental drag was a slower pace of fiscal policy. On-budget fiscal expenditures declined YoY in April despite decent revenue growth (Exhibit 11), while the issuance of general government bonds and local government special bonds also slowed after a strong 1Q (Exhibit 10). We think the slight let-up and complacency in fiscal policy in April partly reflects a strong 1Q26 GDP print, which exceeded expectations from the perspective of top leadership.

High-frequency tracking in May - deepening two-speed economy:

- **(-) Domestic demand lags:** Consumption momentum remains subdued, with YoY growth of passenger cars and online home appliance sales weakening further on an MTD basis (Exhibit 7), reflecting a higher base and fading policy effectiveness. Construction-linked indicators remain soft, with cement shipments (Exhibit 13) and rebar (Exhibit 14) demand still hovering near multi-year lows. This reflects a mechanical housing construction slowdown due to previous and ongoing low new starts, while traditional infrastructure capex remains soft. Upstream utilization is also under pressure, with LNG and crude utilization weak and asphalt utilization deteriorating further.
- **(+) High-end industries and exports likely remain robust:** Container throughput growth stabilized despite the ongoing oil shock (Exhibit 1). PMI for emerging sectors remains at a solid level despite some softening from April (Exhibit 5) with still elevated export orders (Exhibit 6).
(continued on next page)

Additional implications

Policy - re-acceleration of fiscal rollout within the current budget, monetary policy to maintain ample liquidity: Net issuance of both general government bonds and local government special bonds remained soft MTD, suggesting that policy implementation has yet to pick up meaningfully after the April slowdown. This likely reflects an interim phase with insufficient supply of qualified projects. That said, given April monthly GDP at ~4%Y and sluggish high frequency data in May, we think Beijing may need to catch up on fiscal rollout from June to prevent 2Q26 GDP from falling materially below ~4.5%Y, while facilitating timely re-acceleration in 2H to meet the annual target due to lags in policy transmission.

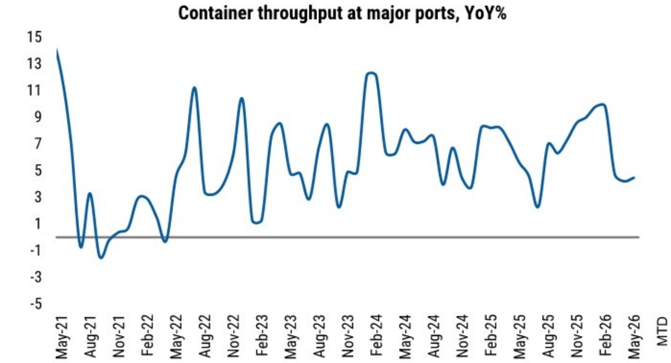
Meanwhile, we think the PBoC will maintain ample interbank liquidity as measured by DR007 (Exhibit 12). DR007 has been below the policy rate since April due to weak loan demand and slower government bond issuance; it might inch up as government bond issuances accelerate (not to be interpreted as proactive liquidity tightening).

Targeted push for infrastructure capex: Recent policy guidance has emphasized accelerating infrastructure planning and construction around the “six networks” — water management, new-type power grids, computing-power, next-generation communication, urban underground pipelines, and logistics. This reflects Beijing's pragmatism as the “six networks” framework bridges near-term growth stabilization and longer-term structural priorities in energy security, AI infrastructure, and supply-chain resilience.

Bottom line - oil as the key swing factor: April’s growth miss reflected the oil shock and fiscal complacency, but broader Q2 data support our structural narrative: China remains a distinctly two-speed economy. Domestic demand is dragging, especially construction, property-linked activity and consumption. But exports and high-value-added manufacturing are holding the line. Our base case forecast (4.8% real GDP growth for 2026) hinges on sufficiently timely and visible easing in oil-related tail risks by quarter-end. If oil normalizes, then robust exports on global AI and energy capex demand, fiscal catch-up, and a lower 2H comparison base should support modest YoY growth re-acceleration. If oil prices rise further with continued Strait disruptions beyond June, the balance of risks could shift toward weaker growth and a renewed case for additional policy easing.

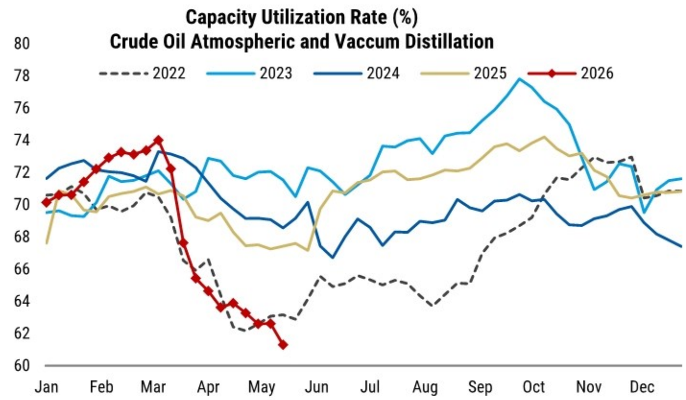
Charts

Exhibit 1: Container throughput growth held up in May MTD



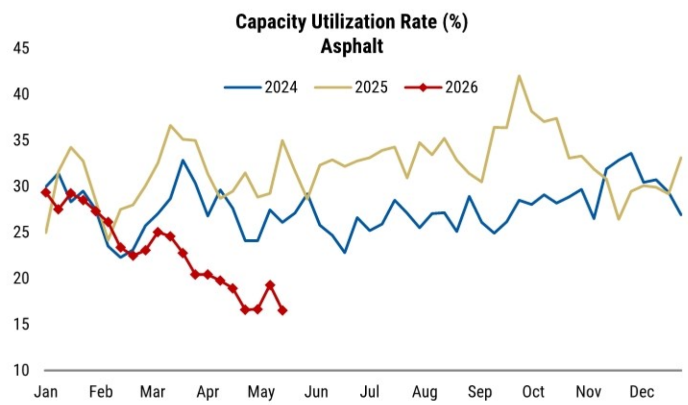
Source: CEIC, Morgan Stanley Research

Exhibit 2: Capacity utilization dropped significantly in crude oil distillation...



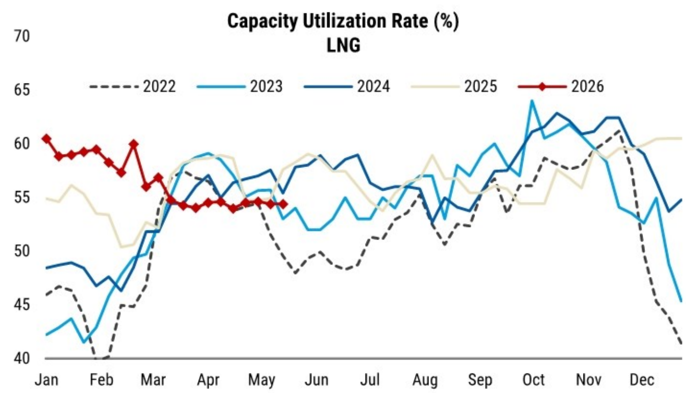
Source: CEIC, Morgan Stanley Research

Exhibit 3: ...asphalt production...



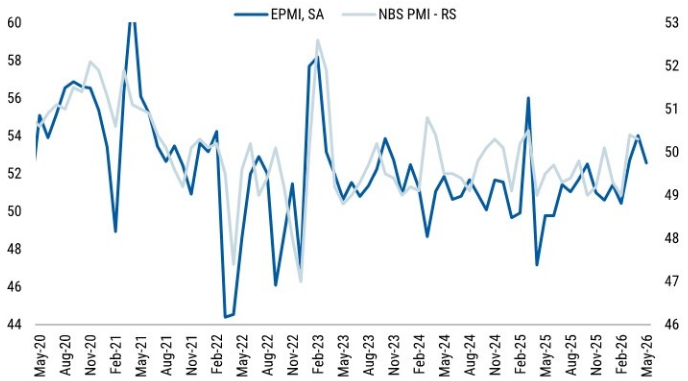
Source: CEIC, Morgan Stanley Research

Exhibit 4: ...and less so in LNG



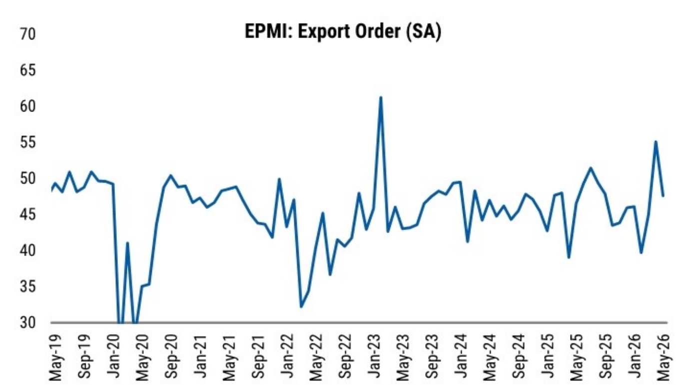
Source: CEIC, Morgan Stanley Research

Exhibit 5: Solid reading in headline emerging industries PMI...



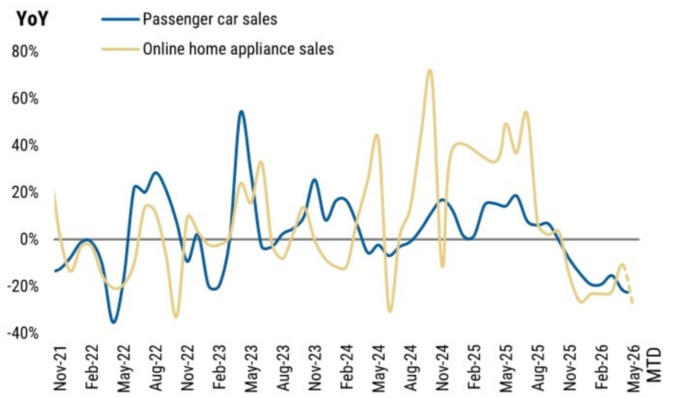
Source: CEIC, Morgan Stanley Research.

Exhibit 6: ..and new export orders in May, despite some softening from April



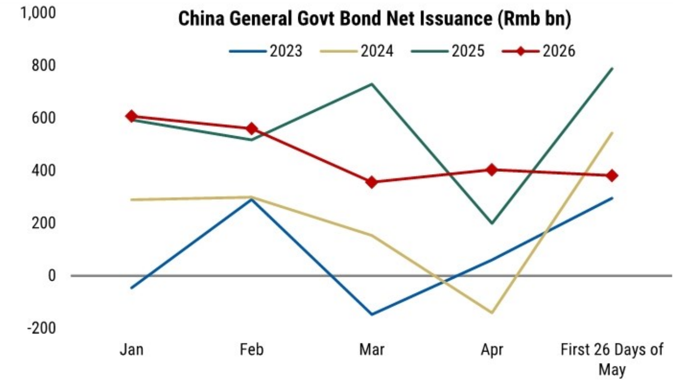
Source: CEIC, Morgan Stanley Research.

Exhibit 7: Auto and home appliance sales growth moderated



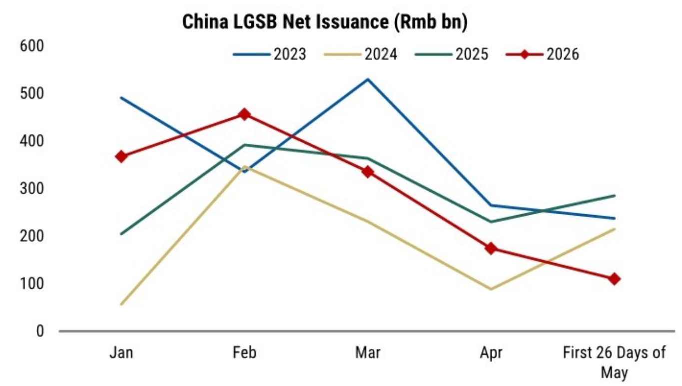
Source: CPCA, CMM, Morgan Stanley Research

Exhibit 8: Net issuance for both general...



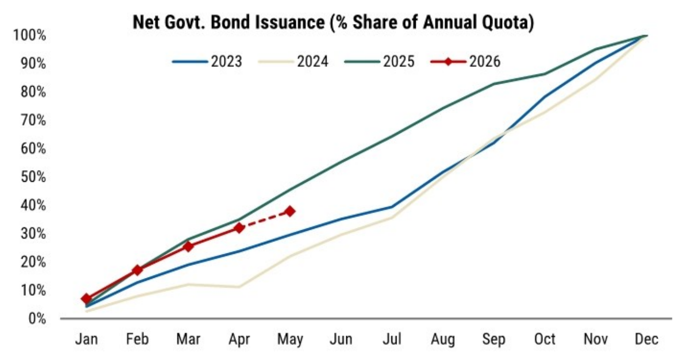
Source: Wind, Morgan Stanley Research

Exhibit 9: ...and special government bonds soft in May MTD



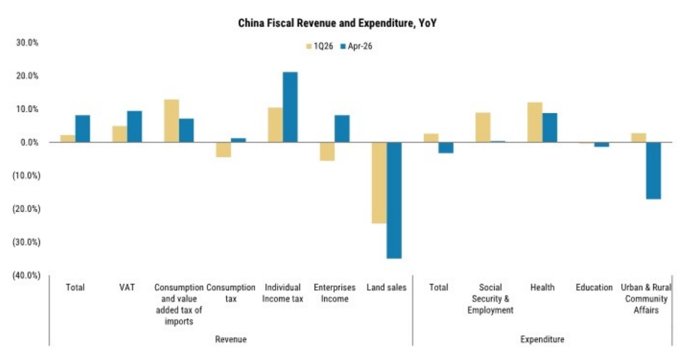
Source: Wind, Morgan Stanley Research

Exhibit 10: Fiscal rollout seems to have slowed from 1Q



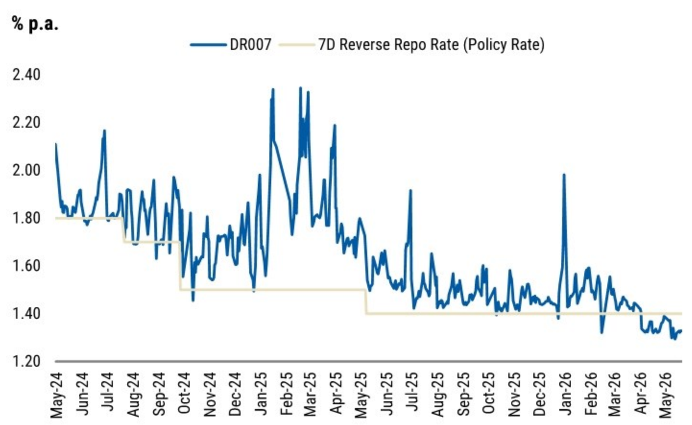
Source: CEIC, Wind, Morgan Stanley Research

Exhibit 11: Fiscal expenditure declined YoY in April despite decent growth in fiscal revenue



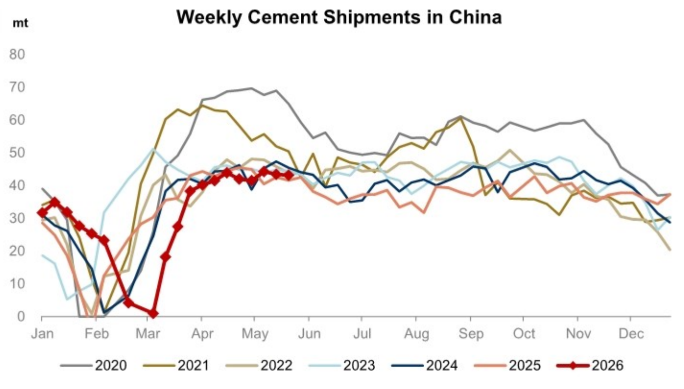
Source: CEIC, Wind, Morgan Stanley Research

Exhibit 12: DR007 suggests ample liquidity in the interbank market



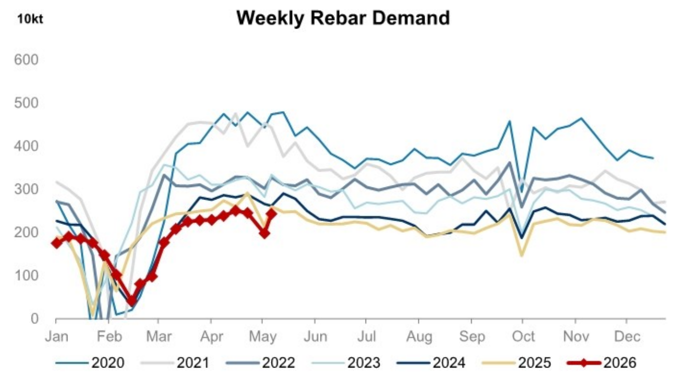
Source: CEIC, Morgan Stanley Research

Exhibit 13: Cement shipment is hovering at multi-year lows...



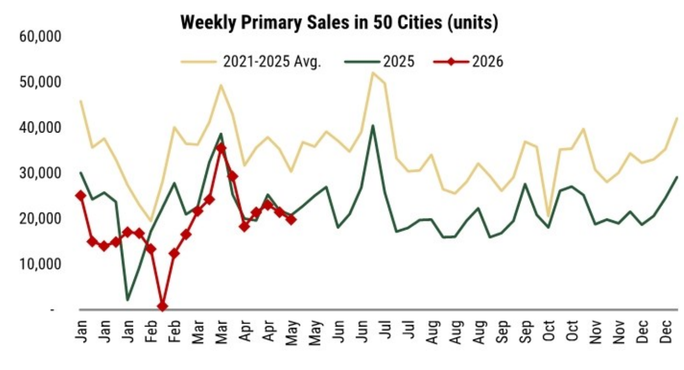
Source: Digital Cement, Morgan Stanley Research

Exhibit 14: ...as is rebar demand



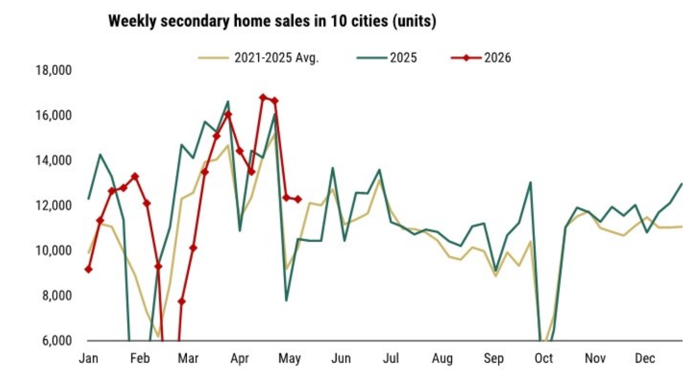
Source: MySteel, Morgan Stanley Research

Exhibit 15: Primary housing sales remains lackluster



Source: Wind, Morgan Stanley Research

Exhibit 16: Secondary housing sales in major cities held up better



Source: Wind, Morgan Stanley Research

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